Interview with **Mr. Manish Sinha,** CEO, CGTMSE

Q CGTMSE has enabled over 1.41 crore collateral-free loan accounts worth more than ₹13 lakh crore in cumulative guarantees since its inception. As India celebrates 80 years of independence, how do you measure CGTMSE's contribution to a different kind of freedom — the economic freedom of India's Women entrepreneurs who have historically been shut out of formal credit?

CGTMSE has significantly contributed to the economic empowerment of Women entrepreneurs by enabling collateral-free access to formal credit. Since inception till June 2026, the Trust has supported over 32.5 lakh guarantee accounts for Women-led enterprises, with guarantee approvals exceeding ₹2.34 lakh crore. In FY 2025–26, Women-led enterprises accounted for 22% of the total guarantee accounts approved by CGTMSE. By addressing the challenge of collateral, CGTMSE has enabled more Women to start, sustain and grow their businesses, promoting financial independence, entrepreneurship and inclusive economic growth.

Q In April 2024, CGTMSE enhanced guarantee coverage for Women-led enterprises to 90% — significantly higher than the standard 75% — along with a 10% reduction in the Annual Guarantee Fee. How has this enhanced coverage specifically changed the lending landscape for Women entrepreneurs, and what are you hearing from the ground about its real impact?

The enhanced 90% guarantee coverage and 10% reduction in the Annual Guarantee Fee have made lending to Women entrepreneurs more attractive for Member Lending Institutions while reducing the credit gap for Women-led enterprises. The impact is reflected in the strong growth in guarantee approvals. The guarantee amount for Women-led enterprises increased from ₹32,223 crore in FY 2023–24 to ₹47,969 crore in FY 2024–25. In FY 2025–26, the guarantee amount increased substantially to ₹73,565 crore, indicating higher-value credit support to Women-led enterprises. This demonstrates growing lender confidence and increased formal credit access for Women entrepreneurs, enabling them to establish and expand their businesses with greater financial support.



Q The woman who has no property to pledge, no family collateral, and no banking history — but has a viable business idea and the will to build it — is precisely who CGTMSE was created for. How does CGTMSE ensure that its guarantee framework genuinely reaches first-generation Women entrepreneurs, particularly in Tier 2, Tier 3 cities and rural India, where awareness remains a challenge and lending institutions may still be conservative?

CGTMSE's guarantee framework is designed to facilitate access to institutional credit based on the viability and potential of a business, rather than relying solely on the availability of collateral. This makes the Scheme especially relevant for first-generation Women entrepreneurs. Our wide network of Member Lending Institutions—including Regional Rural Banks (RRBs), Co-operative Banks, Small Finance Banks (SFBs), NBFCs, and Commercial Banks—ensures that the Scheme reaches entrepreneurs across Tier 2, Tier 3 cities and rural India. These institutions have deep local presence and play a crucial role in extending collateral-free credit to underserved segments. With enhanced guarantee coverage for Women-led enterprises and continuous outreach with lending institutions, CGTMSE is witnessing increasing participation of Women entrepreneurs, helping make formal credit more accessible and inclusive across the country.

Q With the Union Budget 2025-26 announcing term loans of up to ₹2 crore for first-time Women founders, the guarantee ceiling raised to ₹10 crore from April 2025, and over 3.07 crore Women-led MSMEs now registered on the Udyam portal, India's Women entrepreneurship ecosystem has never been more formally supported. In your view, what is the single most important shift still needed — in policy, in financial institution behaviour, or in societal attitude — for India's Women entrepreneurs to fully realise their economic potential by 2047?

While policy support and credit guarantee mechanisms have significantly improved access to finance, the most important shift required is a change in the lending mindset—to evaluate Women entrepreneurs based on the viability of their business rather than the availability of collateral. Financial institutions should continue to adopt a more inclusive and cash flow-based approach to credit appraisal. Combined with greater financial awareness, digital adoption, and market linkages, this will enable more Women entrepreneurs to scale their enterprises and contribute meaningfully to India's vision of Viksit Bharat @2047.

Q Behind every guarantee approval is a woman who said yes to herself — who chose to build rather than wait. Is there a story, a sector, or a moment from CGTMSE's work with Women entrepreneurs that has particularly stayed with you — one that captures why this work matters beyond policy documents and guarantee percentages?

Rather than a single story, what has stayed with me is the growing confidence of Women entrepreneurs across diverse sectors—from manufacturing and services to retail—who are successfully accessing formal credit without collateral. Many of these are first-generation entrepreneurs who have transformed small business ideas into sustainable enterprises, creating employment and supporting their families. These stories reinforce that a credit guarantee is more than a financial instrument; it is an enabler of aspirations, confidence, and economic independence. That is what makes CGTMSE's work meaningful beyond policy and numbers.